Syllabus Edition
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Legal Controls Over Marketing

Exam code: 0450, 0986 & 0264, 0774

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The purpose of legal controls to protect customers

- Legal controls are laws designed to **protect consumers** from unfair or unsafe business practices
- Legal controls force businesses to adopt **ethical**, **responsible** and **consumer-friendly** marketing strategies
- Non-compliance can lead to
  - Financial penalties
  - Bans on advertising
  - Lawsuits
  - Damage to brand image and customer trust
- As a result, marketing teams must work closely with legal advisors to ensure that **each element of a marketing mix respects current laws** and **protects consumer interests**

The effects of legal controls on marketing

Misleading promotion

- Businesses **must not make false or exaggerated claims** about products in advertisements, packaging or promotional campaigns
- Examples of illegal promotions:
  - Advertising a **discount** that is not genuine,
    - E.g. Claiming "50% off this week only" when the product was never sold at the higher price
  - Suggesting a product has benefits it **does not actually deliver**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

honesty, accuracy, and transparency in all communications

Faulty and dangerous goods

- Products sold to customers must be **safe** and **fit for purpose**
- It is illegal to sell goods that could cause **harm or injury** due to poor design, manufacturing defects or a lack of clear safety instructions
- Businesses may need to
  - Implement **quality control** checks
  - Provide clear **instructions and safety warnings**
  - Avoid marketing products in a way that **encourages unsafe use**

Examples of consumer protection legislation

- The **Australian Consumer Law** protects consumers from unfair and unsafe business practices when buying goods and services, including
  - Unfair trading
  - Consumer guarantees
  - Door-to-door sales and direct marketing
  - Product safety

- In the **UK, t**he **Consumer Rights Act (2015)** protects consumers from unfair and dishonest business practices
  - It covers the product or service, returns, repairs, replacements and delivery

Examiner Tips and Tricks

You are not expected to name specific laws – focus instead on the **principles** (e.g. protecting consumers from misleading promotion or unsafe products) and their impact on businesses

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